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The biggest advantage of indemnity plans is that you can get your medical care anywhere you want without getting referrals or approvals from your primary-care physician. You don't have to go to doctors that belong to a specific network. Because this freedom of choice results in higher costs, insurance companies shift more of the costs to you, making indemnity plans the most expensive type of coverage.

### **Health Maintenance Organizations (HMOs)**

An HMO is an association of health care professionals and medical facilities that sell a fixed package of health care services for a fixed price. Each patient has a primary-care physician, who is often referred to as a gatekeeper because services provided by a specialist are not covered unless the gatekeeper determines that the specialist is necessary.

The advantages of HMOs are lower and more predictable out-of-pocket costs and no claim forms. The major disadvantage is that services provided by health care professionals outside the network of your HMO aren't covered. If your network is small, your choices of doctors and other health professionals will be very limited, and services provided by specialists will be dependent on a referral from your primary physician. In HMOs, it's possible that you might not receive the medical care you need because of incentives paid to HMO doctors by the insurance company that reward doctors who limit tests and referrals to specialists.

### **Preferred Provider Organizations (PPOs)**

PPOs combine the managed-care aspects of an HMO with the flexibility of a fee-for-service plan. When you use doctors in your approved network, more of your medical costs are covered, but you can go outside the network of health care professionals and facilities to any health care provider of your choice when you feel it's necessary. The main advantage of a PPO is the flexibility and a wide choice of doctors and facilities. The only disadvantage is that it's more difficult to predict your out-of-pocket costs and you'll pay more for your health care if you go out of network.